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Slowly easing inflation outlook supports gradual pickup in Dutch growth

The Dutch economy is set to grow at a moderate pace, with inflation expectations easing somewhat after previous energy market tensions. While uncertainty clearly remains, the improved inflation outlook is expected to allow for a gradual reacceleration of economic growth in the quarters ahead



We expect Dutch GDP growth to reaccelerate to 1.3% in 2027

Inflation outlook stabilises, but remains uneven

Inflation expectations have improved compared with previous months, reflecting somewhat more favourable assumptions for oil and gas prices. This should help contain inflation and support economic growth. At the same time, the path of inflation remains uneven, with indirect effects from previous energy price increases still feeding through to other prices. And recent events in the Gulf show that uncertainty about energy prices clearly remains.

In any case, the indirect effects are expected to push up prices for food and beverages, industrial goods and eventually services, such as hospitality, until the start of 2027. As a result,

HICP inflation is still projected to follow a somewhat wobbly path over the coming year. Nevertheless, it is expected to be lower in 2026 (2.7%) than in 2025 (3.0%) on average and remain below wage growth. High services and housing inflation, together with tax increases such as the VAT on accommodation, continue to keep inflation above the 2% target. Selling price expectations among businesses have declined for the second consecutive month, but remain above historical averages.

Household income supports consumption despite caution

Despite low consumer confidence and previous inflationary pressures, consumption has grown this year. This resilience is largely explained by wage developments, which continue to outpace inflation, and a still tight labour market, with unemployment remaining low at 3.9% as of June 2026.

However, caution among households remains visible. While some consumers will still face rising energy costs as fixed contracts expire, fuel inflation has already peaked. Consumer confidence has recovered somewhat, but remains low, suggesting that households are likely to keep saving for the time being.

Looking ahead, purchasing power gains are expected to weaken in 2027. Wage growth is projected to decelerate more than inflation, the temporary boost from pension reforms will fade, and labour income tax increases are set to take effect. At the same time, developments in the housing market could pose additional risks to consumption, as weaker housing momentum may dampen wealth effects and housing-related spending.

Uncertainty also remains about how households will adjust their consumption behaviour in response to changes in perceived future pension wealth after the transition to the defined-contribution system. Still, improving economic sentiment could limit precautionary saving, potentially allowing consumption growth to gain further traction again in 2027.

Public spending supports growth, with policy uncertainty ahead

Public spending remains the main driver of economic growth in 2026, supported by ongoing increases in healthcare and public administration. This contribution is expected to diminish in 2027, when austerity measures are projected to take effect, particularly in public administration.

At the same time, uncertainty around fiscal policy remains elevated. It is not yet clear to what extent the minority government will succeed in implementing its defence spending-focused budget for 2027, nor what compromises may be required to secure parliamentary support. So far, support for austerity measures – especially in social security – has been limited.

Investment outlook improves gradually amid structural constraints

Private investment remains subdued in 2026, reflecting geopolitical uncertainty, trade tensions and earlier inflationary pressures, but is expected to gain traction in 2027, supported by a gradually improving macroeconomic environment.

Structural constraints continue to weigh on investment decisions, including limited nitrogen emission space, electricity grid congestion and relatively unfavourable energy price competitiveness. Recent political developments, including [increasing support for a comprehensive approach to the nitrogen challenge](#), could help ease some of these constraints over time. This would support both actual and potential growth, particularly through improved conditions for housing, infrastructure and business expansion.

Public investment is set to remain an important pillar of growth, with continued expansion in housing-related infrastructure, the energy grid and defence. Progress on nitrogen policies could further accelerate these investment plans in the years ahead.

External environment remains mixed, but improves

International developments continue to play a key role in the highly open Dutch economy. While several manufacturing export sectors still struggled at the start of 2026, expectations have improved in recent months, according to the [monthly survey by the European Commission](#).

Dutch firms in the semiconductor supply chain continue to benefit from strong global investment related to artificial intelligence, and this support is likely to persist into 2027. At the same time, intensifying competition from China – driven by overcapacity and technological upgrading – is expected to constrain export growth in European markets in other manufacturing industries.

Nevertheless, export demand is projected to strengthen later in 2026. Increased defence and infrastructure spending in Europe, particularly in Germany, is expected to generate positive spillovers for Dutch producers and constructors. While the Netherlands' military industrial complex is relatively small, it is competitive in niches such as drones and radar technology.

Labour market easing slightly

While the labour market is gradually becoming less tight, constraints related to labour shortages remain an important factor for business activity. At the same time, productivity growth has recovered following the weakness seen during the 2022 energy crisis, suggesting less labour hoarding by firms.

Rising wage costs and slowing labour supply growth are coinciding with somewhat weaker employment dynamics, which may push unemployment slightly higher. Even so, the labour market remains relatively tight.

Despite higher wages, average business profitability remains above historical averages, although this likely varies across sectors. Overall, the combination of solid domestic demand and persistent structural headwinds points to a continued environment of moderate, but resilient, economic growth.

After a slowdown from solid 1.6% growth in 2025 to a more moderate expansion of 1.2% in 2026, Dutch GDP growth could reaccelerate to 1.3% in 2027 and a more typical 1.5% in 2028.

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